

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 26-03

Gator Fabrication Technology, LLC,

COMPLAINANT,

v.

Flador Global Logistics a/k/a Flador Global Uluslararası Taşımacılık Loj.Điřtic Ltd.řti

and

NTG Air & Ocean, LLC,

RESPONDENTS

**RESPONDENT’S RESPONSE TO ORDER TO SHOW CAUSE AND MOTION
TO DISMISS FOR LACK OF SUBJECT MATTER JURISDICTION AND
FAILURE TO STATE A CLAIM UPON WHICH RELIEF MAY BE GRANTED**

Respondent NTG Air & Ocean, LLC, (“NTG”) submits this Response to the Order to Show Cause (issued March 27, 2026) and Motion to Dismiss the Verified Complaint filed by Complainant Gator Fabrication Technology, LLC (“Gator”) for Lack of Subject Matter Jurisdiction and Failure to State a Claim pursuant to 46 C.F.R. § 502.69(g), Federal Rule of Civil Procedure 12(b)(1), (6).

I. Facts

1. Gator filed its Verified Complaint on February 10, 2026.

2. NTG was served the Verified Complaint on February 13, 2026.
3. Gator and NTG agreed to extend NTG's response deadline in lieu of the parties' active negotiations to seek a resolution of the case. *See* Correspondence between Counsel for Gator and Counsel for NTG, attached as **Exhibit A**.
4. Since the filing of the Complaint, NTG and Gator have been negotiating for a resolution.
5. Gator provided NTG an extension to respond to the Complaint, while the negotiations were ongoing.
6. As of the date of this filing and through the negotiations of Gator, Flador Global Logistics a/k/a Flador Global Uluslararası Taşımacılık Loj.Dıştic Ltd.Şti ("Flador") and NTG, the cargo has been released. *See* Affidavit of Patrick Sullivan, attached as **Exhibit B**.
7. Count I alleges a Shipping Act violation of 46 U.S.C. § 41102(c) based on "holding [Gator's] cargo hostage." Verified Compl. ¶¶ 25-26.
8. Count II alleges a Shipping Act violation of 46 U.S.C. § 41102(d) based on alleging retaliation for holding the cargo. Verified Compl. ¶¶ 27-28.
9. Count III alleges a Shipping Act violation of 46 U.S.C. § 41104(a)(10), (14) and 46 C.F.R. § 545.5 based on the "coerc[ion]" related to holding the cargo "to pay unrelated charges for a different shipment." Verified Compl. ¶¶ 29-30.
10. Because the cargo is not being held, the claims in the Complaint are simply a cargo damage claim and a payment dispute: "Complainant's damages include, but are not limited to, the loss of its equipment, the loss of its profit in the sale of the equipment to its customer, pending detention charges and storage fees, disruption of

commercial relationships, damage to its business reputation, and additional operational costs.” Verified Compl. ¶ 32.

II. A Default Judgment Should not be Entered Because NTG did not Fail to Respond in Bad Faith and was Seeking Resolution of the Case.

The precedent of the Commission, and of courts applying the Federal Rules of Civil Procedure, agree that entry of a default judgment is a drastic sanction that undercuts the desired goal of deciding cases on their merits and is permissible only if there are no available alternatives. *See, e.g., Tak Consulting Eng’rs v. Bustani*, Docket No. 98-13, 28 S.R.R. 581, 583 (ALJ 1998) (“The reluctance to decide by default judgments is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission. Under this philosophy agencies prefer to decide cases based on evidence rather than on defaults and technicalities”); *Webb v. District of Columbia*, 146 F.3d 964, 971 (D.C. Cir. 1999) (“because disposition of cases on the merits is generally favored, we have said that a default judgment must be a ‘sanction of last resort.’”) (quoting *Shea v. Donohoe Construction Co.*, 795 F.2d 1071, 1075 (D.C. Cir. 1986)).

Complainant Gator agreed to an extension pursuant to active settlement discussions and was therefore not prejudiced by the late filing. *See* Ex. A. NTG is filing a consent motion for extension of time to file this responsive pleading in accordance with 46 C.F.R. § 502.102(b) forthwith. NTG respectfully requests that the ALJ accept this filing for good cause shown, as the extension was agreed to by the parties prior to the response deadline because of active settlement negotiations.

III. The Complaint Should Be Dismissed Because it Has Not Alleged Shipping Act Violations and the FMC Does not Have Jurisdiction Over the Claims and it Fails to State a Claim for Which Relief is Granted

A. Legal Standard

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well-established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, 2021 FMC LEXIS 104 at *2-3 (ALJ Order, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C. 2d 103 (FMC 2018). “[T]he ‘Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.’” *YSN Imports*, 2021 FMC LEXIS 104 at *3 (quoting *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216 at *6 (FMC 2020)).

Under FRCP 12(b)(1) a party may move to dismiss a Complaint for lack of subject matter jurisdiction because jurisdiction “is fundamental and necessary” for the Commission to adjudicate a Complaint. *Arena v. Graybar Electric Co. Inc.*, 669 F.3d 214, 223 (5th Cir. 2012); see also *Earlean Edward Dukart v. Ocean Star Int’l*, FMC Docket No. 20-03, 2020 WL 13512914 at *8, 2020 FMC LEXIS 149, *17-18 (ALJ July 10, 2020). Gator bears the burden of proving by a preponderance of the evidence that subject-matter jurisdiction exists. *See Earlean Edward Dukart*, 2020 FMC LEXIS 149, *17-18 (citing *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012)).

The Commission has no authority to hear Gator's claims alleging failure to maintain contractual obligations, breach of contract, or failure to pay, as it has stated:

[The] Commission does not exercise the authority of a court of law or of equity. We administer and enforce the requirements of the Shipping Act and related Acts. When pleadings come before us in which violations of the Act are heavily veiled in common law pleadings it becomes difficult to distill the activities alleged to be in violation of the Act from those which indicate the possible violations of some common law obligation.

Earlean Edwards Dukart, 2020 FMC LEXIS 149, *17-18 (citing *European Trade Specialists, Inc. v. Prudential-Grace Lines, Inc.*, 19 F.M.C. 148, 151 (FMC 1976); *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994) (stating that the Shipping Act prevents the Commission from “hearing those claims, which although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.”)). Only claims based on the Shipping Act can be adjudicated by the Commission.

The lack of subject matter jurisdiction must be considered before the failure to state a claim upon which relief can be reviewed, because a lack of jurisdiction renders other arguments moot. This ensures that a court without jurisdiction does not prematurely review a case on the merits. If a Rule 12(b)(1) motion is filed in conjunction with other Rule 12 motions, as is the case here, the Court will consider the jurisdictional attack under Rule 12(b)(1) before addressing any attack on the legal merits. *Ramming v. United States*, 281 F.2d 158, 161 (5th Cir. 2001).

The FMC has jurisdiction over the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101-41310, pursuant to 46 U.S.C. § 41301. The FMC may not hear cases beyond the Shipping Act. *Id.*

To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not whether a complainant can prevail on its claim but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

B. The Claims should be dismissed because payment disputes are not under the FMC’s jurisdiction.

As alleged in the Complaint, Gator has failed to pay Flador \$22,745.69 based on the damage to the second shipment. Verified Compl. ¶ 19. Gator further alleges that “Flador and Complainant are in a contractual dispute over the damages to the machine and Complainant’s associated expenses to mitigate the damages.” *Id.* Because the cargo

in the third shipment has been released, all that remains in the Verified Compl. are Gator's alleged payment disputes and a cargo damage claim. These claims sound in contract and tort law and not in the Shipping Act. "[T]he Commission has no authority to hear Complainant's claims alleging failure to maintain contractual obligations, breach of contract, fraud, deceptive trade practice, gross negligence, and intentional misconduct." *Earlean Edwards Dukart*, 2020 FMC LEXIS 149, *17-18. "[A]llegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is no more than a simple breach of contract claim." *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998, 2006 FMC LEXIS 19, *22 (FMC 2006) (citing *Cargo One, Inc. v. COSCO Container Lines Co.*, 28 S.R.R. 1635, 1645 (FMC 2000)).

C. The Claims should be dismissed because cargo loss and damage claims are not within the FMC's jurisdiction.

The Claims relate to Gator's failure to pay, the alleged cargo damage, and associated damages for loss of equipment and lost profits and those sounding in tort for disruption of commercial relationship and damage to reputation should be dismissed with prejudice. Verified Complaint ¶ 32. The Commission does not have subject matter jurisdiction over cargo damage claims. See *A.N. Deringer Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273, 1277 (FMC 1990) ("The Commission has never asserted jurisdiction over damage and loss claims."); *see also J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (dismissing claims for loss of or damage to cargo or for damages due to failure to follow routing instructions because the claims do not fall within the Act) (citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)).

Gator's claims for cargo loss and damage are reviewed properly in federal court pursuant to the Carriage of Goods by Sea Act ("COGSA"). *Earlean Edwards Dukart v. Ocean Star International Inc.*, 2020 FMC Lexis 44 at *17 (FMC 2020) (citing *Nat'l Auto. Publ'n, Inc. v. U.S. Lines, Inc.*, 486 F. Supp. 1094, 1099 (S.D.N.Y. 1980)) ("Pursuant to COGSA, jurisdiction over loss and damage claims arising from transportation by ocean is vested in the federal district courts"); Definition of Package, 23 S.R.R. 111, 113 (FMC 1985) ("COGSA is not a statute which has been delegated to the Commission for its administration.").

The claims, especially with the cargo released, are based on the damages to Gator's "second shipment." Verified Compl. ¶ 19. This is a claim for cargo damage. As explained above, the Commission does not have subject matter jurisdiction over Complainant's claim for damages for any alleged loss or damage to the second shipment.

If the Commission asserts jurisdiction over claims for cargo loss or damage that are thinly veiled as Shipping Act claims, it would enable parties to circumvent the limitations on liability provided for under COGSA, would frustrate the purpose of COGSA, and run contrary to Congress's intent to vest the oversight of cargo damage claims in the federal courts, and not with the Commission. *See Earlean Edwards Dukart v. Ocean Star Int'l*, 2 F.M.C. 2d 118, 2020 FMC LEXIS 149, *17. Such a result would render the \$500 per package limit on liability under COGSA meaningless, as any person who suffered cargo loss or damage could circumvent the limitations on liability by couching its cargo loss/damage claim as a Shipping Act violation. That is not what Congress intended, and to date the Commission has properly declined to entertain cargo damage claims disguised as Shipping Act allegations. It should do the same here.

D. Gator has failed to state a claim upon which relief can be granted.

Even if the ALJ could find that the claims are subject to the Shipping Act and that the FMC has jurisdiction over the Complaint, the Complaint should be dismissed because Gator has failed to state a claim upon which relief can be granted: (1) Gator has failed to allege a “practice” under the Shipping Act based on one shipment allegedly being “[held] . . . hostage” and one shipment allegedly incurring detention. Verified Compl. ¶¶ 25-26, 29-30. Thus, Claims I and III fail to state a claim based on this defect. (2) Claim III should likewise be dismissed because it conflates “detention” with storage fees at a warehouse. (3) Further, Claim II also should be dismissed because Gator has failed to allege retaliation by baldly stating that “respondents have unlawfully retaliated.” Verified Compl. ¶ 28.

1. Claims I and III should be dismissed because they fail to allege practices.

Claims I and III allege Shipping Act violations that are unreasonable *practices*, but Gator’s claims only allege *one shipment* subject to this “practice”—which is not a practice at all. Verified Compl. ¶¶ 25-26, 29-30. Claim I refers to detention fees and a maritime lien for container number UACU2416592—which is no longer being held. Verified Compl. ¶¶ 20, 26; Ex. B. One shipment cannot establish a “practice.” By regulation, the Commission identified the following five elements of a claim under 46 U.S.C. § 41102(c):

- a. the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- b. the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

- c. the practice or regulation relates to or is connected with receiving, handling, storing or delivering property;
- d. the practice or regulation is unjust or unreasonable; and
- e. the practice proximately caused the claimed loss.

46 C.F.R. § 545.4.

To state a claim under § 41102(c), the act at issue must occur on a normal, customary and continuous basis. 46 C.F.R. § 545.4(b); *Elite Logistics Corp. v. Tanera Transport LLC*, Dkt 25-27, __ FMC LEXIS __ (ALJ Feb. 4, 2026) (citing 46 U.S.C. § 41102(c); *Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 FMC LEXIS 125, at *3-4 (FMC Aug. 18, 2021)). One shipment cannot be “a normal, customary and continuous basis” and therefore Gator has failed to state a claim upon which relief can be granted for Claims I and III.

2. Claim III should be dismissed because it fails to allege detention.

In addition to a failure to allege a *practice*, Claim III also fails to state a claim because it alleges that the Respondents has violated 46 C.F.R. § 545.5 for detention charges. Verified Compl. ¶¶ 29-30. Gator conflates detention charges under the FMC’s interpretive rules in 46 C.F.R. Part 545 with storage charges at a warehouse. As Gator alleges itself, the cargo is at a warehouse, incurring storage charges, and is not at a port or terminal incurring demurrage or detention charges that would bring it under Section 545.5. Verified Compl. ¶ 22. 46 C.F.R. § 541.3 defines “demurrage” and “detention” as “any charge[], including ‘per diem’ charges, assessed by ocean common carriers, marine terminal operators, or non-vessel-operating common carriers related to the use of marine terminal space (e.g., land) or shipping containers, but not including freight charges.”

Gator's complaint uses the terminology "detention," but Gator does not allege a detention charge. Paragraph 22 does not allege a charge "related to the use of marine terminal space (e.g., land) or shipping containers." 46 C.F.R. § 541.3. Instead, Gator alleges that "Flador and NTG have *off-loaded Complainant's equipment to a warehouse*, and they are charging Complainant detention charges of \$250.00 per week until Complainant pays the disputed amount related to the first and second shipments." Verified Compl. ¶ 22 (emphasis added). This is a warehouse fee. It is not detention as that word is used in FMC regulations. 46 C.F. R. § 545.5. And for that reason, Gator has failed to state a claim for unjust and unreasonable practices with respect to demurrage and detention because Gator failed to allege the necessary foundational fact that any detention was charged.

3. Claim II should be dismissed because it fails to allege retaliation.

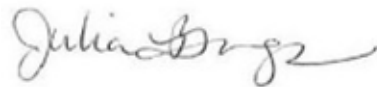
As for Claim II, Gator alleges that "Respondents have unlawfully retaliated against Complainant in response to Complainant's statement that it would be filing a complaint with the FMC in violation of 46 U.S.C. section 41102(d)(2)(B). See FMC Docket No. 21-15 (Statement of the Commission on Retaliation)." Verified Compl. ¶¶ 29-30. The Complaint fails to properly allege any retaliation. Taking the well-pled facts and assuming their veracity, Gator has not alleged any retaliation in paragraph 28 other than to baldly state it. And in paragraph 24, Gator has not alleged any retaliation, but simply a payment dispute which is outside the jurisdiction of the Shipping Act, as outlined in Section III.B, *supra*. Because of that, Claim II should be dismissed.

IV. Conclusion

For the foregoing reasons, NTG respectfully requests that default judgment not be entered. Further, NTG respectfully requests that the ALJ dismiss the Verified Complaint because it lacks jurisdiction over cargo damage claims and breach of contract claims. And, in the alternative, if the ALJ finds that the FMC does have jurisdiction, even assuming the veracity of the allegations, Gator has failed to state a claim upon which relief can be granted because it failed to properly allege a practice, failed to allege detention (by conflating detention with warehouse storage fees), and failed to properly allege retaliation. For those reasons, the Complaint should be dismissed with prejudice.

April 10, 2026

Respectfully submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 10th day of April 2026, the foregoing Response and Motion was served upon counsel and parties of record via email at the addresses below.

On behalf of Complainant: William Cook wcook@cooklawfla.com

On behalf of Respondent: Hasan@fladorglobal.com; info@fladorglobal.com

Respectfully,

A handwritten signature in cursive script, appearing to read "Julia Briggs", is written above a horizontal line.